

Understanding Tax Implications of Growth vs. Dividend Reinvestment Options in Mutual Funds

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Knowing the tax implications of various options can be essential for investors trying to maximize their mutual fund investments. As per the current income tax structure, we are able to reduce our tax outgo by choosing a right option. Let us understand the same by the comparison between Growth and Dividend Reinvestment* options.

How Mutual Fund Taxation Works

Before diving into the comparison, let us understand the key tax rules applicable:

- Dividends from mutual funds are taxed at your income slab rate
- Under the new tax regime, income up to Rs 12 lakh is tax-exempt
- Equity mutual fund capital gains above Rs 1.5 lakh are taxed at 12.5%
- Long-term capital gains (LTCG) apply after holding for 1 year

Growth vs. Dividend Reinvestment: A Simplified Comparison

Let's understand with a practical example with investment of Rs. 50 lacs and then redemption of Rs. 25 lacs:

The Tax Advantage of Dividend Reinvestment with FIFO Method

The key benefit emerges when we consider taxation:

1. For Growth Option:

- Your capital gain is Rs 4,16,670 (Rs 25,00,000 - Rs 20,83,330)
- After the Rs 1.5 lakh exemption, Rs 2,66,670 would be taxable at 12.5%
- Tax liability: Rs 33,334

2. For Dividend Reinvestment Option (FIFO basis):

- The Rs 5,00,000 dividend is taxed at your income slab rate
- If your total income is below Rs 12 lakh, this

Particulars	Growth Option	Dividend Reinvestment Option
Initial Investment	Rs 50,00,000	Rs 50,00,000
Invested at NAV	Rs 10	Rs 10
Initial Units Allotted	5,00,000 units	5,00,000 units
Fund Performance Assumed	15% growth raises NAV to Rs 11.50	15% growth raises NAV to Rs 11.50
Year End Value	Rs 57,50,000 (5,00,000 × Rs 11.50)	Rs 57,50,000 (5,00,000 × Rs 11.50)
Annual Dividend Declaration @Rs 1 per unit	No dividend	Rs 5,00,000 (Rs 1 per unit)
NAV After Dividend	Remains Rs 11.50	Drops to Rs 10.50
Dividend Reinvestment	Not applicable	47,619 additional units
Final Unit Count	5,00,000 units	5,47,619 units
Year-End Value	Rs 57,50,000 (5,00,000 × Rs 11.50)	Rs 57,50,000 (5,47,619 × Rs 10.50)
Redemption Amount	Rs 25,00,000	Rs 25,00,000
Units Redeemed	2,17,391 units	2,38,095 units
FIFO Units Redeemed	2,17,391 units from original purchase	2,38,095 units from original purchase
Cost Basis of Redeemed Units	Rs 21,73,910 (2,17,391 × Rs 10)	Rs 23,80,950 (2,38,095 × Rs 10)
Capital Gains on Redemption	Rs 3,26,090	Rs 1,19,050
Taxable Capital Gains	Rs 1,76,090	Rs 0
Tax Liability (at 12.5%)	Rs 22,011	Rs 0
Remaining Units	2,82,609 units	3,09,524 units
Market Value After Redemption	Rs 32,50,004 (2,82,609 × Rs 11.50)	Rs 32,50,002 (3,09,524 × Rs 10.50)

dividend is effectively tax-free

➤ Your capital gain is Rs 2,27,270 (Rs 25,00,000 - Rs 22,72,730)

➤ After the Rs 1.5 lakh exemption, only Rs 77,270 is taxable at 12.5%

➤ Tax liability: Rs 9,659

Why This Works

The dividend reinvestment strategy using FIFO creates a significant tax advantage through:

1. Lower capital gains: Since you're redeeming the earliest units with the lowest cost basis (original units at Rs 10), your capital gains are substantially lower than with the growth option

2. Tax-free dividend: For those earning under Rs 12 lakh, the dividend isn't taxed

3. Better exemption utilization: In this example, a larger portion of your capital gains falls within the Rs 1.5 lakh exemption

For investors with income below Rs 12 lakh who need partial redemptions, the dividend reinvestment option using FIFO method provides

the most tax-efficient approach. In our example, this reduces the tax liability from Rs 33,334 to just Rs 9,659 on the Rs 25 lakh redemption, saving Rs 23,675 in taxes.

A word of caution, when you want to do the full redemption, the last dividend units invested will attract STCG and to avoid it, it is suggested that change the dividend reinvestment option to dividend payout option.

Remember, this strategy works specifically when your income is below the Rs 12 lakh threshold under the new tax regime. Always consult with a tax professional before making investment decisions based on tax considerations.

*Dividend Reinvestment is a popular term with the investors and hence it is used for understanding purpose in the article. As per SEBI, it is termed as Income Distribution cum Capital Withdrawal (IDCW) Reinvestment.

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